Comparison between Industry, Commerce and Trade

INDUSTRY	COMMERCE	TRADE
1.**Meaning:** Extraction, reproduction, conversion, processing and construction of useful products	Activities involving distribution of goods and services	Purchase and sale of goods and services
2. **Scope:** Consists of all activities involving conversion of materials and semi-finished products into finished goods.	Comprises trade auxiliaries to trade	Comprises exchange of goods and services
3. **Capital:** Generally large amount of capital is required	Need for capital is comparatively less	Small capital is needed to maintain stock and to grant credit
4. **Risk:** Risk involved is usually high	Relatively less risk is involved	Relatively less risk is involved
5. **Side:** It represents supply side of goods and services	It represents demand side of goods and services	It represents both supply and demand
6. **Utility creation:** It creates form utility by changing the form or shape of materials	It creates place utility by moving goods from producers to consumers	It creates possession utility through exchange

v. Warehousing

Usually, goods are not sold or consumed immediately after production. They are held in stock to make them available as and when required. Special arrangement must be made for storage of goods to prevent loss or damage. Warehousing helps business firms to overcome the problem of storage and facilities the availability of goods when needed. Prices are thereby maintained at a reasonable level through continuous supply of goods.

vi. Communication

Communication means transmitting or exchange of information from one person to another. It can be oral or in writing. It is necessary to communicate information from one to another to finalize and settle the terms of sales such as price of goods, discount allowed, the facility of credit and so on Internet, telephone, teleconference, email play on important role in establishing contact between businessman producers and consumers.

vii. Advertising and salesmanship

Advertising frisbee knowledge cap and it solves the difficulty of information Advertising helps consumers to know about the various brand manufactured by several manufacturers The media used to advertise products for Radio, Newspapers, Magazines, Television, Internet, Billboard and so on

commerce 1-15.indd 21 2/17/2021 4:48:45 PM